(ii) size of the domestic market,

(iii) high investment rate, and

(iv) high saving rate.

In 2011, out of 184 countries listed in the IMF's WEO, there were only 26 with a population of at least 10 million and growth rate of over 6 per cent. Most, if not all, are the so called emerging markets. Quite understandably, the dim view about the growth prospects of advanced economies has put the spotlight on emerging and developing economies as the new **growth drivers** of the global economy.

The underlying shift in global economic setting raises the question as to whether future changes in the world economy would unravel in a smooth manner, or be disruptive. Needless to say **India,** even while carefully responding to the immediate economic challenges emanating from domestic and global sources, will also have to craft and calibrate its policies keeping both outcomes in view.

Presently, the global situation is marked by volatility in world financial markets, uncertain growth in the advanced economies, and possible disruptions in supplies of energy apart from other *geopolitical tensions.* There is contradiction between the short-term need for growth and maintaining demand and the need for fiscal consolidation that marks the current policy environment. But even as the world economy, three years after the global financial crisis of 2008, continues to move from one uncertainty to another, there have been continuing efforts in multilateral fora such as the G-20 to bring about greater understanding and coordination in dealing with global imbalances and addressing the weaknesses that might have led to the global crisis, to arrive at measures to revive global growth.

LOCATING INDIA

Over the years, India has become a more open economy. The total share of imports and exports accounts for close to 50 per cent of GDP while that of capital inflows and outflows measures up to 54 per cent of GDP. Yet economic outcomes and their impact on growth and development arising from the interaction between the domestic and external economies are